ELEPHAS INVESTMENT

Elephas Alphas Fund

2025 Q3 Investment Letter

Performance

Elephas*	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	ITD
2025	**0.19**	**12.45**	**13.88**	**10.26**	**-7.95**	**3.83**	**9.30**	**9.10**	**4.48**				**68.45**	**120.4**
2024								-3.38	40.27	-4.03	1.18	-0.59	30.83	30.83
MSCI China All	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**YTD**	**ITD**
2025	**-0.32**	**8.07**	**1.39**	**-3.85**	**2.74**	**3.59**	**4.62**	**7.19**	**7.42**				**34.64**	**50.28**
2024								-2.62	23.19	-5.27	-3.23	1.50	11.62	11.62

** Class A net return, since inception July 16th 2024*

The Fund posted a 24.59% return for the quarter, bringing its cumulative return since inception to 120.38%. This compares favorably to the MSCI China All Index, which returned 50.28% over the same period.

Portfolio Review

A key contributor to portfolio performance this quarter was our newly established holding in **Shenzhen VMAX** (688612 CH, +54% in Q3), a global leader in on-board chargers (OBCs) with an estimated 40 per cent share of the world market. OBCs are a vital component found in every electric vehicle, converting mains electricity into battery power. The company demonstrates our broader investment thesis of Chinese champions expanding globally and earning super-normal profits abroad as they leverage cost advantages and engineering excellence to capture international market share.

Another notable contributor was our investment in **Century Huatong** (002602 CH, +88% in Q3), the studio behind two recent blockbuster mobile titles — *Whiteout Survival* and *KingShot* — both of which achieved exceptional international traction, topping overseas download charts and surpassing 300 million global installs. The company exemplifies the new wave of Chinese creative capability expanding successfully abroad: having proven its competitiveness in China's intensely contested domestic gaming market, it is now translating that expertise into profitable growth on the global stage.

Market Outlook

The current surge of investment in Large Language Models, particularly those aspiring toward Artificial General Intelligence (AGI), is beginning to expose a fundamental weakness in the industry's economic model. The costs of developing frontier models have scaled exponentially—from approximately $50 million for GPT-3, to $500 million for GPT-4, and now an estimated $5 billion for GPT-5, which was reportedly delayed and, when released, offered only marginal improvement over its predecessor. Crucially, there is no durable moat around these models, and therefore little pricing power. Competitors and start-ups increasingly rely on open-source

alternatives such as Qwen (Alibaba) or Llama (Meta), which offer comparable performance at a fraction of the cost.

OpenAI, the poster child of the AI revolution, generated ~$4.3 billion in revenue in the first half of 2025 while posting nearly $8 billion in losses. According to *The Information*, those losses are set to balloon — with cash burn projected at $17 billion in 2026, $35 billion in 2027, and $45 billion in 2028 — even as management targets a $100 billion revenue run-rate by 2027, up roughly seven to eightfold from today's $13–14 billion.

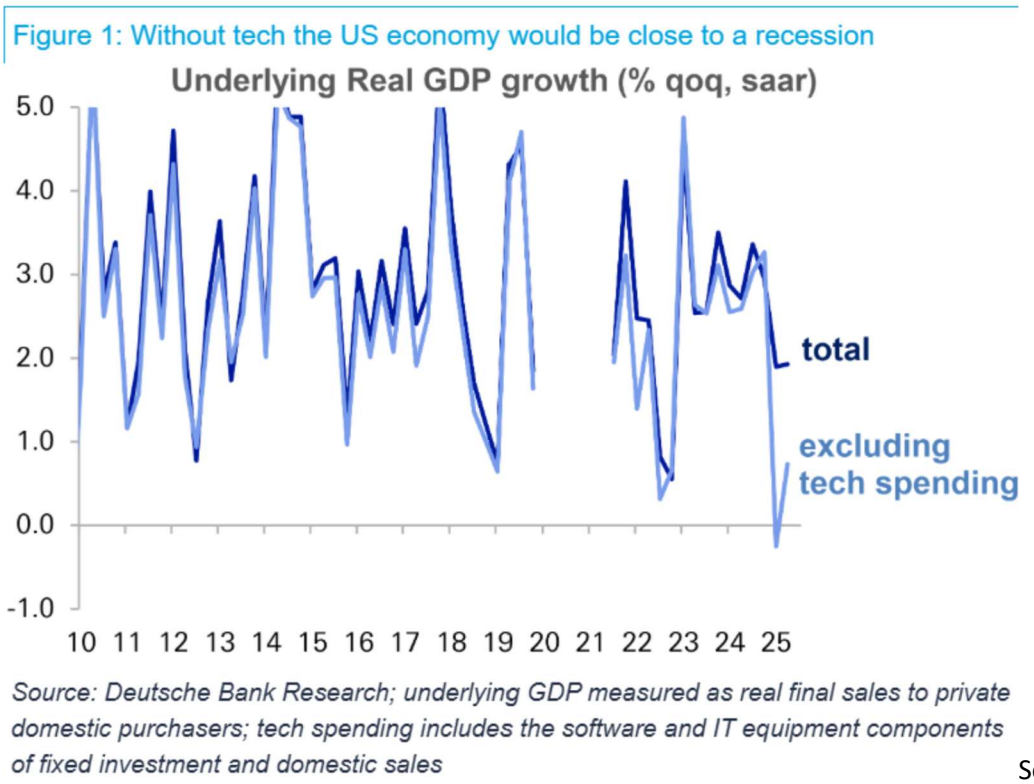
For context, Netflix, the gold standard for monetising digital scale, reported 301 million paying subscribers as of year-end 2024. Its $37.5 billion in annual revenue and $6.9 billion in profit translate to an ARPU of roughly $10.40 per month or $125 per year. Netflix took over a decade of global brand building, billions in content spend, and near-ubiquitous broadband to reach those figures — all for a service as habit-forming and universally understood as television.

Now consider OpenAI's task. Even with 800 million weekly active users, only 5 percent currently pay the $20/month ChatGPT Plus fee — around 40 million paying users, implying $9–10 billion in annual revenue, consistent with its reported run-rate. To reach $100 billion, OpenAI would need roughly 400 million paying users at $20/month, effectively adding more subscribers in two years than Netflix has today, and for a product that, for most people, is still an occasional productivity tool rather than a daily essential.

Let's now consider the almost $1 trillion of infrastructure deal OpenAI signed recently, including $500 billion Stargate with Oracle and $250 billion with Microsoft Azure. Assuming a five-year asset life — given the rapid obsolescence of server hardware — and a typical 12 percent after-tax return on capital with a 30% operating margin, the company would need to generate roughly 1tr*12%/30% = $400 billion in annual revenue in five years' time to deliver a market-standard return. To put it in context, the entire global enterprise-software market today is roughly $700 billion. Not to mention, OpenAI remains primarily a business-to-consumer enterprise, with over 80 percent of its revenue still derived from individual subscriptions to ChatGPT rather than from enterprise or API contracts.

And yet, the demand side of the equation for enterprise market looks far less robust. A recent MIT study found that 95% of corporate AI pilot projects fail to produce measurable productivity gains or profits. Most of these deployments are being quietly shelved, with companies citing high integration costs, inconsistent output quality, and the time-intensive need for human supervision to correct model errors.

It is hard to time the peak of such exuberant behaviour but a turn in the cycle would have tremendous implications for asset prices. A recent Deutsche Bank report observed that the U.S. economy would already be in recession were it not for AI-related capital expenditure, which has become a critical prop to growth and corporate earnings.(Figure 1) Surely the peak in AI related investment would mark the peak in the dollar and US equity outperformance.



Source: Deutsche Bank

We continue to favour China's more controlled and pragmatic approach to AI investment. Rather than chasing scale through vast and costly infrastructure build-outs, China's innovation strategy has centered on the development of efficient open-source models—tools designed to be adaptable and commercially practical, in part because of the limited access to cutting-edge Nvidia GPU chips. This constraint has, paradoxically, encouraged greater ingenuity and efficiency. Coupled with its advantage in lower energy and infrastructure costs, this strategy offers a far more credible prospect of generating a tangible return on investment than the capital-intensive arms-race approach in the United States.

Chinese biotech made a breakout showing at ESMO 2025, the world's premier oncology summit, with 23 Late-Breaking Abstracts (LBAs). LBAs are reserved for high-caliber clinical trials with the potential to reshape medical practice. Three of the 12 coveted Presidential Symposium presentations—ESMO's top tier LBAs — came from Chinese companies, led by **Akeso**'s PD1/VEGF bispecific antibody, **Kelun**'s TROP2 ADC and **Remegen**'s HER2 ADC, underscoring the continued global leadership of Chinese biotech in next-generation IO and ADC therapies. Akeso's PD-1/VEGF bispecific plus chemo delivered a 40% reduction in risk of progression versus standard-of-care PD-1 plus chemotherapy— the first successful head-to-head wins in this setting. Meanwhile, outside the Presidential Symposium, companies like **Biokin** delivered standout LBA data: its HER2 ADC showed compelling efficacy across all breast cancer subtypes, with particularly strong PFS in the HR+/HER2- population. Taken together, the depth and quality of data presented this year mark a clear shift—Chinese biotech is not just participating in global oncology innovation, but helping lead it. Although the share price of the sector has seen some significant pullback, we continue to believe in the validity of the thesis - the

scientific momentum remains intact, and the pipeline credibility is deepening with every global readout. Our conviction stands: the fundamentals of Chinese biotech — strong science, rising global standards, and competitive cost structures — remain compelling. In an investment landscape dominated by over-capitalised AI infrastructure stories, the contrast is telling. Here is a sector product visibility and data quality are improving sharply, and where each incremental dollar of R&D is translating into demonstrable clinical progress rather than press releases.

As always, we greatly appreciate your continued trust and support.

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